I could go on. But I come here not to praise the FSLRC Report, but to argue that it would be a mistake to implement some proposals in the report today. For some proposals, the underlying logic is questionable, and seems to go against the very rationale of regulation. In other cases, the proposals make more sense for an economy where the regulatory framework is more developed and the judiciary more seasoned in matters financial. To implement the proposals now would be to tie the system up in knots. Let me explain.

THE LOGIC FOR REGULATION

The logic for regulation according to the FSLRC is to deal with market failure or, more colloquially, bad behaviour. The committee talks about incomplete information or poor incentives as a reason for bad behaviour, but one of the most important reasons for bad behaviour necessitating regulation is what economists call incomplete contracts; that the behaviour of the regulated entity (vis-à-vis customers, the public at large, the taxpayer, or the market) cannot be completely specified in contracts because it is too difficult to observe or verify in real time, or it can only be gauged across many contracts.

While courts can enforce specific contracts, the regulator can sometimes do better. For instance, a bank may attract a lot of complaints from its credit card customers. While no single customer may think the case worth taking to court, and while no customer may be able to prove the bank was in the wrong, the large number of complaints will suggest to the regulator that the bank needs to shape up. By comparing the nature of the complaints it gets from this bank's customers with the complaints it gets from other banks, the regulator can gauge what is wrong and act. Similarly, if a particular product attracts a lot more complaints than other products, the regulator can ask the industry to modify the product appropriately, or even ban it.